AOU

Arab Open University

Faculty of Business Studies.

B326: Advanced financial Accounting

Spring Semester 2024-2025

Mid Term Examination -C–

Date: 10-April-2025

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mber of Exam Pages: 3 ncluding this cover sheet)	Time Allowed: 2 hours

tructions:

e **FIVE (5)** minutes to read all instructions carefully before attempting to write.

bile phones must be in "SWITCHED **OFF**" mode throughout the examination.

is a **CLOSED** book examination. NO documents of any kind are allowed.

MUST answer the questions using only the answer booklets provided

MUST return the examination paper together with your answer booklets.

NOT write your answers in pencil except graphs/sketches

dents are **NOT** allowed to use any type of dictionary or mobile phones during the examina

dents are allowed to use ***non-programmable*** calculators only (if needed).

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Question 1 (30 mark)

A- Explain what is meant by Contingent consideration in an acquisition, and the two forms under which Contingent consideration can be classified. (15 Marks)

B- On July 1, 2020, Polliwog Incorporated paid cash for 21,000 shares of Salamander Company's $10 par value stock, when it was trading at $22 per share. At that time, Salamander's total stockholders' equity was $597,000, and they had 30,000 shares of stock outstanding, both before and after the purchase. The book value of Salamander's net assets is believed to approximate the fair values.

Requirement 1: Prepare the journal entry that Polliwog would record at the date of acquisition on their general ledger. (6 Marks)

Requirement 2: Calculate the balance of the goodwill that would be recorded on Polliwog's general ledger, on Salamander's general ledger, and in the consolidated financial statements. (9 Marks)

Question 2 (30 Marks)

On January 1, 2024 Parent Company acquired 75% of Subsidiary for $900,000. On the date of the acquisition the subsidiary had retained earnings of $280,000 and a capital of $820,000.

- Separate balance sheets as of 1 January 2024 for Parent and its Subsidiary are as follows:

Description	Parent	Subsidiary	
		at Book value	at Fair value
Cash	97,500	135,500	135,500
Accounts receivable	30,000	70,000	74,000
Land	390,000	200,000	200,000
Property	750,000	750,000	760,000
Investment in Subsidiary	900,000	-	
Total asset	2,167,500	1,155,500	
Account payable	12,500	30,000	27,500
Other liabilities	62,500	25,500	20,500
Capital stock	1,900,000	820,000	
Retained earnings	192,500	280,000	
Total equity and liabilities	2,167,500	1,155,500	

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Required:

1. Prepare the required elimination entries as of January 1, 2024. *Show all required computations.*
2. Prepare a consolidated balance sheet work paper for Parent and Subsidiary as of January 1, 2024.

Question 3 (40 Marks)

On January 1, 2021, Prego Corporation acquired 70% of Sky's company for $840,000, when Subsidiary equity consists of $500,000 capital stock and $300,000 retained earnings. In time of acquisition, Inventory was undervalued by $180,000 (sold in 2021) Furniture was overvalued by $50,000 (has a useful life of 5 years). Any other difference between book and fair value will be assigned to goodwill. The subsidiary had net income of 300,000 and distributed dividends of $110,000. There is intercompany transaction during 2021 which was 26,000 non-interest bearing loan.

Required: Using Equity Method

1) Prepare the elimination entries required for consolidation on December 31, 2021. *Show all required computations* (35 marks)

2) State which items have been amortized and which have not, and why. (5 Marks)

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